EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Calayan, Cagayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri, Cagayan. This town has a total land area of 54,953.75 hectares and is a third class Municipality with twelve (12) barangays. This municipality is an archipelago composed of small islands and islets.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Calayan for the year 2023 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position, financial performance, appropriation, allotments and obligations of the Municipality of Calayan, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	851,637,228.68	789,908,288.55	61,728,940.13
Liabilities	200,270,986.18	179,632,003.65	20,638,982.53
Government Equity	651,366,242.50	610,276,284.90	41,089,957.60
Financial Performance			
Income	223,675,640.80	246,710,793.85	(23,035,153.05)
Expenses	197,758,732.16	170,687,549.51	27,071,182.65
Net Income	25,916,908.64	76,023,244.34	(50,106,335.70)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Concreting of Calayan Circumferential Road (Layag-Banua Section)	8,302,554.08
Electrification Sagpat	2,483,668.85
Concreting of Tomyok Road	1,991,981.72
Concreting of Taneg-Surung Road	1,498,531.27
Concreting of Lower Kadadagatan Farm to Market Road	1,497,641.73
Installation of Street Light (Solar)	1,497,000.00
Concreting of Bucao-Laguyo Road	1,495,582.91
Concreting of Casayan Road	1,494,171.50
Concreting of Kapulaan Main Road	1,492,087.16
Road Clearing and Road Widening at Dibay, Dilam, Poblacion	1,040,000.00
Conreting of Ballasiw Road	1,000,000.00
Total	**23,793,219.22**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Calayan, Cagayan for the year-ended December 31, 2023 due to: (1) undeposited Cash-Local Treasury account amounting to P2,142,117.61; and (2) existence of long outstanding receivables amounting to P10,747,359.12.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **Accounting and reporting guidelines for the Local Disaster Risk Reduction and Management Fund (LDRRMF) were not properly observed for various transactions of the Municipality, which are not in accord with Items 5.1.11 and 5.1.12 of COA Circular 2012-002 dated September 12, 2012, Section 111 of Presidential Decree No. 1445 and Part B (7) of COA Circular 2014-002 dated April 15, 2014, thus, affecting the accuracy and reliability of the Trust Liability-DRRM account in the Financial Statements.**

   We recommended that the Municipal Accountant draw the necessary adjusting journal entries to correct the reported balance of the Trust Liability-DRRM account and ensure that the proper accounting and reporting of the Local Disaster Risk Reduction and Management Fund (LDRRMF) pursuant to COA Circular 2012-002, Presidential Decree No. 1445 and COA Circular 2014-002 dated April 15, 2014 are strictly complied with.

2. **The existence of negative/abnormal balances in the subsidiary ledgers of some permanent accounts amounting to P614,100.41 is not in consonance with Section 27 of the International Public Sector Accounting Standards (IPSAS) 1, thus, affecting the reliability of the ending balances of these accounts and the fair presentation of the financial statements.**

   We recommended that the Municipal Accountant:

   a. Carefully analyze and reconcile the entries made on the accounts with negative/abnormal balances; and

   b. Prepare and submit the necessary adjusting entries to restore the correct balances of the assets and liability accounts.

3. **Disbursement vouchers, together with the documents evidencing the financial transactions for CY 2023, were not submitted to the Office of the Auditor within the prescribed period, in violation of COA Circular No. 2009-006 dated September 15, 2009 and Section 39 (1) & (3) of Presidential Decree (PD) No. 1445, thus, precluded the timely audit and verification of the transactions of the Municipality.**

   We recommended that the Accounting Office submit immediately the lacking disbursement vouchers, together with the supporting documents, and henceforth strictly adhere to COA Circular No. 2009-006 dated September 15, 2009 on the submission of accounts and other reports of the Municipality on or before the set deadline, to avoid administrative sanctions and/or disallowance of said accounts, as provided for in Section 39 (1) & (3) of Presidential Decree (PD) No. 1445.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	**-**

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2022 Annual Audit Report, three (3) were fully implemented, four (4) were partially implemented, and one (1) was not implemented and reiterated in Part II of this Report.